> two hours). As pointed out in a classic little book from 1917 called *One-Way Pockets*, the public is always *trading* oriented in the early stages of a bull market, *and "investment" oriented at the top*. As yet, the "buy and hold" strategy is still a minority view. It hasn't been easy for any of us, holding 100% long for a full year now against the shouts of "sell now, you fool" emanating continually from all directions. But hang in there; what's easy rarely pays off.

Has the forecast that investors would become "investment oriented at the top" (as opposed to trading oriented) come to pass? What a difference there is today, one decade later! The single most popular buzz phrase today, bar none, is "buy and hold for the long term." Today it is impossible to go through a single day and not read or hear someone pontificating on the wisdom of buying stocks "for the long term." That the long term trend will remain up is doubted by virtually no one. The stock market will probably never experience a big bear market, we are told. If it does, it will just go back up; the aftermath of the 1987 crash, and even the 1973-1974 bear market, proved that. So, then, why should you ever sell? Why should you even hedge against the occasional decline? Why should you ever be anything but fully invested on the long side? Says one typical fund manager solemnly, "Investment success over time is more a function of time in the market rather than timing of the market." Just this week, at press time, financial newspapers have published these articles: "Buy and Hold Strategies," "Long Market Slides Aren't Always So Bad," and my personal favorite, "Where's the Reward in Hedging Against Risk?" Such sentiments are the epitome of linear trend projection and were nowhere to be found in 1974 or 1979-1982.

When the public is deathly afraid of stocks, such as in 1974, 1980, 1982, 1984 and 1988, the market is safe. On the other hand, "focus on the long term and hold your stocks" is what people said in 1929, 1946, 1968 and 1973, major tops all. At this juncture, the validity of such comments is nil, and their value is negative (the error of this stance is further explored in Chapter 21). Yet the professionals are now (after 21 years of bull market) so comfortable with the market that they repeat the idea tirelessly, and the public has swallowed it whole. Fidelity Investments, the country's largest mutual fund company, conducted a poll revealing that a mind-numbing 95% of its customers proudly state that they are "in the stock market for the long haul." Said a Vice President of Fidelity, "You clearly have a U.S. investor who has made the switch from short term to long term